

Presentation ↴

00 Status

954 Health Care Entities

205 Presentation of Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-205-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Condi-tional Contri-bution	Added	Accounting Standards Update No. 2018-08	06/21/2018
	Contri-bution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
	Contri-bution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
	Donor-Imposed Condi-tion	Added	Accounting Standards Update No. 2018-08	06/21/2018
	Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
	954-205-45-8	Superseded	Accounting Standards Update No. 2016-14	08/18/2016
	954-205-45-9	Superseded	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 954-205-05-1** This Subtopic provides guidance on the presentation of financial statements for health care entities. The financial reporting for not-for-profit, business-oriented entities and investor-owned health care entities is consistent except for transactions that clearly are not applicable. For example, not-for-profit, business-oriented entities would have nothing to report for shareholders' equity. On the other hand, investor-owned health care entities typically would not have anything to report for contributions.
- 954-205-05-2** A not-for-profit, business-oriented health care entity also applies guidance in the following Subtopics subject to the more specific guidance that is provided in this Topic:
 - a. Not-for-Profit Entities—Presentation of Financial Statements, Subtopic 958-205
 - b. Not-for-Profit Entities—Statement of Financial Position, Subtopic 958-210
 - c. Not-for-Profit Entities—Income Statement—Reporting Comprehensive Income, Subtopic 958-220
 - d. Not-for-Profit Entities—Statement of Cash Flows, Subtopic 958-230.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 954-205-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.
- 954-205-15-2** Paragraph not used.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

- a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value
- b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners
- c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Complete Set of Financial Statements

- 954-205-45-1** The basic financial statements of health care entities consist of a balance sheet, a statement of operations, a statement of changes in equity (or net assets), a statement of cash flows, and notes to the financial statements.
- 954-205-45-2** The terms *balance sheet* and *statement of operations* indicate the content and purpose of the respective statements and serve as possible titles for those statements. Other appropriately descriptive titles may also be used. For example, a statement reporting financial position could be called a statement of financial position as well as a balance sheet. Current practice and purpose suggest, however, that a statement of cash flows only be titled Statement of Cash Flows.
- 954-205-45-3** Paragraph not used.

- 954-205-45-4

Paragraph not used.
- 954-205-45-5

Paragraph not used.
- 954-205-45-6

Paragraph not used.
- 954-205-45-7

Paragraph not used.
- 954-205-45-8

Paragraph superseded by Accounting Standards Update No. 2016-14.
- 954-205-45-9

Paragraph superseded by Accounting Standards Update No. 2016-14.

50 Disclosure

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General Note:

The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 954-205-50-1

Section not used.